

2018 P L C (C.S.) 838

[Lahore High Court]

Before Jawad Hassan, J

MUHAMMAD SAGEER KHAN and 3 others

Versus

FEDERATION OF PAKISTAN and 2 others

W.P. No.103421 of 2017, decided on 1st February, 2018.

Master and servant---

---Employer Corporation having non-statutory rules---Effect---Principle of master and servant was applicable---Rules, policy and procedure enacted by the Board of Directors of the Corporation were for internal control and management having no approval of Federal Government---Said Rules, policy and procedure of the Corporation were non-statutory in nature--Employee aggrieved of actions of the Corporation, under the said Rules could not resort to constitutional jurisdiction of High Court---Petitioners could agitate the matter before appropriate forum---Constitutional petition being not maintainable was dismissed accordingly.

Muhammad Riaz v. National Fertilizer Corporation of Pakistan (Pvt.) Limited and others 1992 ALD 535 (1); Pakistan Defence Officers, Housing Authority and others v. Lt. Col. Syed Jawaid Ahmed 2013 SCMR 1707; Munda Eleven Cricket Club v. Federation of Pakistan and 4 others PLD 2017 Lah. 805 and Muhammad Zaman and others v. Government of Pakistan and others 2017 SCMR 571 rel.

Ch. Zulfiqar Ali, Faisal Grewal and M. Ahsin Butt for Petitioners.

Barrister Khawaja Ahmad Hosain, Zaki Rehman, Ch. Muhammad Usman, Zaheer Abbas Cheema and M. Minam Karim for Respondents.

JUDGMENT

JAWAD HASSAN, J.---Through the instant Constitutional Petition, filed under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 (the "Constitution"), the Petitioners have challenged their termination of employment letters all dated 6.11.2017.

2. Briefly, the Petitioners were Employees of the Respondent No.2 National Fertilizer Corporation of Pakistan (Pvt.) Limited (the "NFC") and after Voluntary Retirement Scheme (VSR) the Petitioners were again appointed on contract basis. But later on their service were terminated vide the impugned letters by the respondent. Hence, this petition.

3. Report and parawise comments have been filed on behalf of the Respondents vehemently denying the allegations levelled in the petition and praying for dismissal of the same.

4. Learned counsel for the Petitioners contended that as this Court in similar matter has taken cognizance and also pleased to grant interim relief, therefore, this petition is maintainable before this Court, that the impugned letters of termination are against the law and facts, that the impugned letters were issued without affording any opportunity of personal hearing to the Petitioners, as such are based on mala fide; that the VRS has no effect upon the services of the Petitioners; that the competent authority has not recommended the termination of the Petitioners; that a discriminatory attitude has been adopted towards the case of the Petitioners.

5. On the contrary, learned counsel for the Respondents vehemently controverted the arguments advanced by the learned counsel for the Petitioners and prayed for dismissal of the petition on the grounds that the same is not maintainable because the Petitioners have not come to the Court with clean hands; that the Respondent No.2 falls within the definition of a private person and have its rules which are non-statutory in nature; that the relationship between the Respondent No.2 and the Petitioners is that of master and servant; that the Petitioners have already availed the benefits of VRS, therefore, now cannot claim to be the employee of the Respondent No.2. To fortify his contentions the learned counsel for the Respondents has placed reliance on the case titled Muhammad Riaz v. National Fertilizer Corporation of Pakistan (Pvt.) Limited and others 1992 ALD 535 (1), Munir Ahmad Siddiqui v. National Fertilizer Corporation of Pakistan (Pvt.) Limited and others (I.C.A. No.293/2007) and Pakistan Defence Officers, Housing Authority and others v. Lt. Col. Syed Jawaaid Ahmed (2013 SCMR 1707).

6. Arguments heard and record perused.

7. Mainly, the Petitioners have challenged the letters all dated 06.11.2017 for termination of their employment passed by the Respondents. Admittedly, the Petitioners were the employees of the Respondent No.2. Learned counsel for the Respondents laid much stress on the point that the Respondent No.2 is a private limited Company registered with the Securities and Exchange Commission of Pakistan (the "Commission") and the Rules and Regulations in respect to Company's relationship with its employees i.e. the Executive Service Rules (the "Rules"), the Executive Recruitment, Annual Increment, Transfer Policy and Procedure (the "Policy") and the Disciplinary Policy and Procedure (the "Procedure") are non-statutory in nature. As per the Memorandum and Articles of Association the entire management of the Respondents vests with the Board which is empowered to make the Rules, the Policies and the Procedure. The said Rules are approved by the Board of Directors of the Company on 1st April 1980 which is a non-statutory body. Therefore, the services of the employees of the Respondent No.2 are governed by the principle of 'master and servant'. Nevertheless, the Respondents NFC is owned by Government of Pakistan and was incorporated as private limited company in August, 1973. Its prime function is to manage fertilizer plants in Pakistan. But as per Privatization Policy of Government of Pakistan, all manufacturing units of NFC have been privatized by the Privatization Commission.

8. Reliance in this regard is placed on the Muhammad Riaz case supra treating similar matter against the NFC in which this Court has held that as there is neither any statutory nor any

rules governing the relationship between the Petitioner and its employer, it would be regulated by the principle of master and servant and the Constitutional petition cannot be maintained on any ground. In I.C.A. No.293/2007 titled Munir Ahmad Siddiqui v. National Fertilizer Corporation of Pakistan (Pvt.) Ltd. and others which was dismissed by the learned Division Bench of this Court, it has been held that as far as the present matter is concerned it was examined in Muhammad Riaz v. National Fertilizer Corporation of Pakistan and others (1992 ALD 535 (1)) and held that the Respondents have no statutory rules and therefore, are not amenable to the Constitutional jurisdiction of this Court. This view was again affirmed by this Court in I.C.A. No.105/2007, thus, following the principle of consistency we are not persuaded to take a contrary view. For what has been stated above, this Appeal has no merits and is, therefore, dismissed. This Court in case titled Munda Eleven Cricket Club v. Federation of Pakistan and 4 others (PLD 2017 Lahore 805) has held that "I have left with no option but to hold that this Court lacks jurisdiction to entertain this petition being the PCB Constitution non-statutory in nature."

9. Reliance is also placed on the case titled Muhammad Zaman and others v. Government of Pakistan and others (2017 SCMR 571) in which the Hon'ble Supreme Court of Pakistan has held that since the regulations in question, passed under the amended law, concerned the pension and gratuity matters of employees of SBP are basically instructions for the internal control or management of SBP and are therefore non-statutory. In Pakistan Defence Officer's case supra the Hon'ble Supreme Court of Pakistan has held as under:

"Where conditions of service of employees of a statutory body are not regulated by Rules/Regulations framed under the Statute but only Rules or Instructions issued for its internal use, any violation thereof cannot normally be enforced through writ jurisdiction and they would be governed by the principle of 'Master and Servant'. "

10. On the touchstone of the above discussion, it is clear that the Rules, the Policy and the Procedure enacted by the Board of Directors, which is a non-statutory body, of the Respondent No.2 i.e. the NFC, for the internal control and management of the employees of the NFC, without the approval of the Federal Government and which have not been enacted or notified as official law, are non-statutory in nature and therefore, any employee aggrieved of actions taken under these Rules, cannot resort to this Court under the writ jurisdiction. The relationship of the Petitioners with the NFC is governed by the principle of master and servant and therefore, the Petitioners should have agitated the matter before the appropriate forum. Since the impugned order has been passed without mentioning any statutory rules or regulations, therefore, the petition is not maintainable.

11. As a sequel, the instant petition, being not maintainable, is hereby dismissed.

ZC/M-37/L

Petition dismissed.